

OECD Pillar Two -- Global Minimum Tax Impact Assessment

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1. Overview of Pillar Two

The OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting (BEPS) adopted the Global Anti-Base Erosion (GloBE) Model Rules in December 2021, establishing a global minimum effective tax rate of 15% for multinational enterprises with consolidated revenues exceeding EUR 750 million.

American Express Company, with consolidated revenues of \$60.5B for fiscal year 2024, is within scope of the GloBE rules in all jurisdictions that have enacted implementing legislation.

2. Jurisdictional Analysis

AMEX operates in 130+ countries and territories. Based on our Pillar Two impact assessment, 8 jurisdictions have effective tax rates below 15% on a GloBE basis before application of substance-based income exclusions (SBIE):

Singapore (ETR: 12.3%), Hong Kong (ETR: 11.8%), Ireland (ETR: 13.2%), UAE (ETR: 0% -- pre-Corporate Tax Law), Bermuda (ETR: 0%), Cayman Islands (ETR: 0%), Luxembourg (ETR: 14.1%), Switzerland (ETR: 13.7%).

After applying SBIE (5% of tangible assets + 5% of payroll), top-up tax exposure is estimated at \$127M annually.

3. Compliance and Reporting Obligations

AMEX will be required to file GloBE Information Returns (GIR) in each jurisdiction that has adopted the Income Inclusion Rule (IIR) or Qualified Domestic Minimum Top-up Tax (QDMTT). The first filing deadline for CY2024 is June 30, 2026.

We are implementing a Pillar Two compliance technology solution (Thomson Reuters ONESOURCE) to automate the jurisdictional ETR calculations, SBIE computations, and GIR preparation.